Talking Points

March 2026

Genium Investment Partners

Interest Rates

a) Key themes driving interest rate news in February included:

- Geopolitical / conflict driven inflation risks – i.e. higher oil prices
- Persistent inflation – i.e. caution in easing too quickly
- Policy divergence – e.g. Australia vs the US
- Market repricing of rate cuts – i.e. rate cuts being pushed back further in the year

b) The central focus remains policy uncertainty and divergence – e.g. Fed deciding between pause / cut; RBA considering further hikes; Europe / UK trying to delay expected easing.

c) The RBA increased the cash rate to 3.85%, reversing one of their rate cuts from 2025, with the Governor referring to the move as an “adjustment” and not set path for future moves.

d) Bank of England kept rates unchanged at 3.75%, though the decision was a close 5-4 with four members wanting a cut.

e) ECB left rates unchanged at 2%, though inflation continued to weaken.

f) The US Federal Reserve had no meeting in February, but debate continued on their next move. Minutes from their January meeting showed almost all policymakers supported holding rates, preferring a wait and see approach.

g) Other central banks, including Japan, largely left rates on hold on February, awaiting further information or happy with current rate settings.

h) The rate outlook remains volatile, highlighting divisions about the inflation and economic outlook.

Inflation

a) Key inflation themes in February included:

- Continued but uneven disinflation
- Sticky core inflation
- Re-emergence of energy price risks
- Central bank cautiousness (confusion)

b) To-date, whilst headline inflation has eased in most jurisdictions (outside of Australia), core inflation and energy-price risks remain a risk to any further rate cuts.

c) Australian headline CPI was 0.4% in January, to be 3.8% for the year (unchanged from December). Core came in at 3.4% for the year, rising slightly from 3.3% previously.

d) Key drivers of Australian inflation included housing costs, electricity prices (end of energy subsidies), and services inflation.

e) US CPI for January was 0.2% (below expectations), with annual CPI falling to 2.4% from 2.7%. Core was 0.3% for the month. Interestingly, know what we do today, falling petrol prices and energy costs were the main driver.

f) Euro area inflation slowed to 1.7% in January, down from 2% in December. First period since 2021 with inflation below ECB 2% target. EU-wide inflation stood at 2%.

g) January Japanese inflation came in slightly lower at 1.5% than the previous month, though core inflation remained above the BoJ's target.

h) Chinese inflation continued to stagnate, with a 0.2% annual read in January.

i) Updates to market forecasts for the year have US and UK above target, and Europe just below target, with disinflation to persist but continued sticky services inflation.

Economy

a) The key themes in February included:

- Resilient but uneven global growth
- Labour markets remain tight, but early signs of softening in the US
- Inflation pressures diverge
- Asia featuring more prominently in global outlooks
- Moderate growth momentum, not doubt under review post new conflict at the end of the month.

b) US labour market weakness in February with 92,000 jobs lost, which saw unemployment rate rise to 4.4%.

c) US manufacturing showed continued expansion in factory activity whilst Eurozone manufacturing rose back into expansionary territory after a prolonged period of contraction. Chinese manufacturing mixed.

d) Australian unemployment rate printed a 4.1% for January, employment increased by 17,800 with a big rise in full-time jobs but a rather large fall in part-time jobs.

e) Australian business activity indicators showed moderate expansion, but services sector weakened.

f) Japan's economy recorded 0.1% in the December quarter, annual growth at 1.1% in 2025. Residential investment and improving manufacturing activity were supportive.

g) Chinese producer price inflation fell 1.4% on annual basis, indicating continued factory-gate deflation. Together with weak consumer inflation, shows ongoing demand weakness in Chinese economy.

Bonds

a) Key themes in February included:

- Volatile but range-bound yields
- Changes to economic data drove rate expectations
- Supply concerns (large government borrowing) upward pressure on longer-term yields
- Policy uncertainty

b) US government bond yields fell strongly through February, almost 30bps move from their peak early in the month as investors sought out refuge (i.e. weak risk sentiment, softening US labour market) in addition to expectations of lower inflation.

c) European bonds were more range bound as markets interpreted ECB signalling as neutral to slightly positive for bonds.

d) Australian government bonds largely followed the path of US government bonds in the month, whilst the yield curve remained elevated vs other jurisdictions on expectations the RBA may need to hike further.

e) Japanese government bonds remained sensitive to speculation regarding future BoJ policy normalisation (i.e. rates higher).

f) Emerging market bonds continued to perform well.

g) Credit had a mixed month – whilst demand (bids) remained strong given still healthy yields, certain issuers came into question which saw their spreads widen (in some cases quite considerably). These included software companies on AI threats and linkages to private debt issues.

Equities

a) Key themes in February included:

- Continued strong momentum from the start of the year, particularly for ex-US stocks.
- Technology-driven volatility as valuations come into question and AI threats to software arise
- Regional divergence with strong returns from Australia, Japan, and emerging markets, less so for Europe whilst the US was flat.
- Geopolitical and trade risks
- Relatively strong earnings with investor support remaining

b) Reporting seasons were largely positive events, though plenty of mixed results within.

c) Investor optimism remained given continued economic resilience, though some concerns regarding the monetary policy outlook.

d) US technology stocks came under pressure on AI threats to software stocks, which extended to software stocks globally.

e) This then extended to tech stocks more broadly as investors began to question heavy capital expenditure plans and challenge weaker than expected technology earnings guidance (from previous lofty expectations).

f) This saw investors rotate to other parts of the equity market (broadening number of winners) with some leakage to more defensive assets.

g) Australian and Japanese stocks performed well on improving earnings and earnings outlook.

h) Europe posted moderate gains on stabilising economic data and expectations that rates would remain stable.

i) Emerging markets performed strongly on improving global risk sentiment and strong growth outlook for several emerging economies, with strong expectations of earnings growth ahead.

j) Valuations remained elevated more broadly, and relative valuation gaps did compress.

Politics / Geopolitics

a) Key themes in the month included:

- Persistent geopolitical risk
- Strategic rivalry between major powers
- Defence spending continues to increase
- Trade policy uncertainty

b) Trump's tariffs were shot down by the US Supreme Court. Immediately after the ruling, the Trump administration had already put forward multiple workarounds they were exploring whilst also announcing an increase in baseline tariffs from 10% to 15%.

c) US fiscal policy remained a hot topic given the size of US budget deficits and rising government borrowing needs. Specific ramifications for US government bond yields.

d) Russia / Ukraine war – continued conflict but no specific new developments.

e) Middle East tensions rising – increased rumblings regarding and Israel/US attack on Iran. Oil and commodity prices begun to react.

f) China/US strategic rivalry ongoing – no specific new developments.

Level 12, 25 Martin Place,
Sydney, NSW 2000 Australia

geniuminvestmentpartners.com.au